

# Difference between Project and Programme

According to the *PMBOK® Guide*—Fourth edition (PMI, 2008a, p. 434) the definition of a project is “a temporary endeavor undertaken to create a unique project service or result.” Projects are temporary and close down on the completion of the work they were chartered to deliver.

The definition of a program given in *The Standard for Program Management*—Second edition (PMI, 2008b, p. 312) is “a group of related projects managed in a coordinated way to obtain benefits and control not available from managing them individually. Programs may contain elements of work outside of the scope of the discrete projects in the program.”

### OGC Standards

The OGC has very similar views embedded in its methodologies. PRINCE2 defines the management of projects and the Managing Successful Programmes (MSP) methodology defines a program as “a portfolio of projects and activities that are coordinated and managed as a unit such that they achieve outcomes and realise benefits” (OGC, 2003, p. 126).

Project vs Programme

The main difference between a project and a programme is that a project is a temporary undertaking to achieve a specific output, whereas a programme is a group of related projects managed together to achieve broader strategic benefits.

| Basis           | Project                                                    | Programme                                                                    |
|-----------------|------------------------------------------------------------|------------------------------------------------------------------------------|
| Meaning         | A temporary effort undertaken to produce a specific output | A coordinated group of related projects                                      |
| Objective       | Achieve a specific deliverable                             | Achieve broader strategic benefits                                           |
| Scope           | Narrow and clearly defined                                 | Wider and may evolve                                                         |
| Duration        | Usually shorter                                            | Usually longer                                                               |
| Management      | Project Manager                                            | Programme Manager                                                            |
| Focus           | Outputs/deliverables                                       | Outcomes and benefits                                                        |
| Interdependency | Generally limited                                          | Projects are often interdependent                                            |
| Risk            | Project-specific risks                                     | Programme-level and project-level risks                                      |
| Example         | Construction of one hospital                               | Government healthcare improvement programme involving many hospital projects |
| Success         | Delivered on time, within cost and required quality        | Strategic benefits achieved across projects                                  |

## **2. Simple example**

**Project:** Construction of a new hospital in Gandhinagar.

- Cost: ₹50 crore
- Duration: 2 years
- Output: One completed hospital
- Project manager is responsible for construction, budget, quality and schedule.

**Programme:** Gandhinagar District Healthcare Development Programme.

It may contain:

- 1.Hospital construction project
- 2.Medical equipment procurement project
- 3.Doctor and nurse training project
- 4.Digital health-record project
- 5.Ambulance-service improvement project

Here, the programme manager coordinates all these projects to achieve the larger objective of improving healthcare services in Gandhinagar.

3. Numerical Example: Project

Suppose a construction project has four activities:

Assume the activities are sequential.

Project duration

$3+4+6+2=15$  months

Total project cost

$5+10+25+8=₹48$  lakh

Therefore:

Project duration = 15 months

Project budget = ₹48 lakh

This is a project because it has one clearly defined deliverable.

| Activity         | Duration | Cost     |
|------------------|----------|----------|
| A – Design       | 3 months | ₹5 lakh  |
| B – Foundation   | 4 months | ₹10 lakh |
| C – Construction | 6 months | ₹25 lakh |
| D – Finishing    | 2 months | ₹8 lakh  |

4. Numerical Example: Programme

Suppose a government launches a Digital Education Programme consisting of three projects:

Total programme budget

$20+5+10=\text{₹}35 \text{ crore}$

If the three projects can be implemented simultaneously, the programme duration is approximately:

$\max(12,8,10)=12 \text{ months}$

Thus: projects designed to produce a larger benefit.

| Project                               | Budget    | Duration  |
|---------------------------------------|-----------|-----------|
| Project A – Smart classrooms          | ₹20 crore | 12 months |
| Project B – Teacher training          | ₹5 crore  | 8 months  |
| Project C – Digital learning platform | ₹10 crore | 10 months |

Programme budget = ₹35 crore

Programme duration = 12 months

The programme is not simply "one big project." It consists of multiple related projects designed to produce a larger benefit.

## Numerical Example: Programme-level benefit

Consider a **University Digital Transformation Programme**.

It has three projects:

Programme ROI

$$ROI = \frac{\text{Annual Benefit} - \text{Investment}}{\text{Investment}} \times 100 \quad ROI = \frac{23 - 55}{55} \times 100 = -58.18\%$$

$$ROI = -58.18\%$$

This indicates that, based only on the **first year's measurable financial benefits**, the programme has not recovered its investment. However, a programme manager would also consider **long-term and non-financial benefits**, such as:

| Project                   | Investment      | Expected Annual Benefit |
|---------------------------|-----------------|-------------------------|
| ERP implementation        | ₹30 lakh        | ₹12 lakh                |
| Digital library           | ₹15 lakh        | ₹6 lakh                 |
| Online examination system | ₹10 lakh        | ₹5 lakh                 |
| <b>Total</b>              | <b>₹55 lakh</b> | <b>₹23 lakh</b>         |

- Better student services
- Faster administration
- Improved data management
- Greater transparency
- Better decision-making
- Improved academic quality

**A project mainly asks: "Did we deliver the required output?"**

**A programme asks: "Did the combined projects deliver the intended strategic benefits?"**

**Easy way to remember**

**Project = One specific deliverable**

**Programme = Multiple related projects + strategic benefits**

For example:

**Build one college building → Project**

**Improve the entire education system through construction, technology, teacher training and curriculum projects → Programme.**

**Project = Do a specific job**

**Programme = Manage related projects together**

**Portfolio = Manage all projects and programmes to achieve organizational strategy**

| <b>Basis</b>    | <b>Project</b>                                    | <b>Programme</b>                           | <b>Portfolio</b>                                                   |
|-----------------|---------------------------------------------------|--------------------------------------------|--------------------------------------------------------------------|
| Meaning         | Temporary undertaking to create a specific output | Group of related projects managed together | Collection of projects, programmes and other work managed together |
| Main focus      | Output / deliverable                              | Outcomes and benefits                      | Strategic objectives                                               |
| Scope           | Narrow                                            | Broad                                      | Very broad                                                         |
| Relationship    | Individual activity                               | Projects are related/interdependent        | Projects/programmes may or may not be related                      |
| Duration        | Short/medium term                                 | Usually longer                             | Continuous/long term                                               |
| Manager         | Project Manager                                   | Programme Manager                          | Portfolio Manager                                                  |
| Main question   | What must we deliver?                             | What benefits will we achieve?             | Are we investing in the right work?                                |
| Success measure | Time, cost, quality, scope                        | Benefits, outcomes, coordination           | Strategic alignment, value, investment, risk                       |
| Risk            | Individual project risk                           | Programme-level + project risks            | Overall organizational/investment risk                             |
| Example         | Build a new hospital                              | Healthcare improvement programme           | Government healthcare investment portfolio                         |

Suppose a company has the following investments:

**Portfolio investment**

$50+80+40+20 = ₹190$  crore

**Therefore:**

- **Individual project:** New Factory → ₹40 crore
- **Programme:** Digital Transformation → ₹50 crore through 3 related projects
- **Portfolio:** Entire strategic investment → ₹190 crore

| Programme/Project                | Number of Projects | Investment |
|----------------------------------|--------------------|------------|
| Digital Transformation Programme | 3                  | ₹50 crore  |
| Market Expansion Programme       | 4                  | ₹80 crore  |
| New Factory Project              | 1                  | ₹40 crore  |
| R&D Project                      | 1                  | ₹20 crore  |

## **6. Important numerical distinction**

Suppose:

### **Project A**

Budget = ₹10 crore

Duration = 12 months

### **Project B**

Budget = ₹15 crore

Duration = 10 months

### **Project C**

Budget = ₹20 crore

Duration = 15 months

If A, B and C are related and jointly produce a strategic benefit, they may constitute a programme.

### **Programme budget:**

$10+15+20=₹45$  crore If these three projects are part of a larger organizational investment portfolio containing another programme of ₹60 crore and two independent projects worth ₹25 crore and ₹15 crore:

Portfolio Value= $45+60+25+15 = ₹145$  crore

Project focuses on delivering a specific output, Programme coordinates related projects to achieve common outcomes and benefits, while Portfolio manages projects and programmes collectively to achieve the organization's strategic objectives.

**P-P-P = Product → Programme Benefits → Portfolio Strategy**

- **Project → Product**
- **Programme → Benefits**
- **Portfolio → Strategy**